

HALF-YEAR ECONOMIC AND FISCAL UPDATE OF 2024

MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

Fiscal Responsibility

This Half-Year Economic and Fiscal Update has been prepared according to Section 15, Part 1 of the Public Finance and Economic Management Act. The document has been prepared in compliance with the principles of responsible fiscal management as specified in the Act.



Hon. John Dahmasing SAEONG (MP)
Minister
Ministry of Finance and Economic Management



Mr. Roan Lester SUNGHK
Director General
Ministry of Finance and Economic Management

OVERVIEW

The July 2024 World Economic Outlook Update (WEO Update) by the International Monetary Fund (IMF) sustains the global growth projection of 3.2 percent for 2024, aligning with the April 2024 WEO. Growth prospects for 2025 have been modestly revised upward to 3.3 percent. However, the global outlook underscores shifts in regional economic momentum and persistent inflationary pressures, particularly within the services sector. These developments complicate the ongoing process of monetary policy normalization by central banks. The WEO Update highlights heightened risks associated with prolonged elevated inflation and potentially sustained interest rates, exacerbated by escalating trade tensions and an environment of heightened policy uncertainty. To effectively navigate these challenges and underpin sustainable growth, the IMF emphasizes the importance of carefully calibrated and sequenced fiscal and monetary policies. Furthermore, the report underscores the necessity of structural reforms to revitalize medium-term growth prospects. These reforms should aim to foster innovation, optimize resource allocation, and expand workforce participation. While maintaining the headline growth projections, the WEO Update incorporates offsetting revisions to growth forecasts for individual countries, reflecting the heterogeneity in economic performance and evolving global dynamics.

The latest World Economic Outlook (WEO) update from the IMF in July 2024 maintains a positive outlook for the Pacific region, largely carrying forward the momentum projected in the April 2024 WEO and Asian Development Bank (ADB) reports. Thus, the overall region is forecasted to rebound around 4.0 percent. This sustained recovery is fuelled by the continued reopening of borders, improved global economic conditions, and a resulting strengthening of tourism activity. While headline inflation is decelerating, core inflation remains a concern. Fiji, in particular, is expected to see robust and stable economic growth due to increased tourism and remittance inflows. The economic performance of neighbouring Australia and New Zealand, coupled with enhanced labour mobility schemes, is likely to further support higher tourism receipts and remittances across the Pacific islands. However, the region remains vulnerable to climate-related events, and some economies require diversification. Therefore, the IMF and ADB emphasize the importance of pursuing sustainable fiscal policies and implementing structural reforms to build resilience and promote inclusive growth.

In the second quarter of 2024, the Macroeconomic Committee (MEC) adjusts its growth forecast for 2024, revising it down from 3.3 to 2.8 percent. However, the outlook improves for 2025, with an anticipated growth of 3.8 percent. Over the medium term, the average growth rate is expected to stabilise at 3.8 per cent. The revision of growth estimates particularly in 2024-25 was influenced by changes in the three key sectors, Agriculture, Industry, and Services. In the agriculture sector, the shortage of labour, the commodity prices uncertainty, and inflation impacted the growth output. The largest sector in the economy; the services sector, faces challenges due to Air Vanuatu's voluntary liquidation, affecting the subsectors within this sector that are mostly tourism-related. The subsectors such as air transport, accommodation and food services, and wholesale trade are negatively impacted by the airline issues, resulting in the downward revision of growth in the forecast. The public sector's underperformance is another factor that is affecting the growth. Other sub-sectors within the services sector are expected to slow down in 2024 while a rebound is expected in 2025 boosting the overall economic growth.

The Reserve Bank of Vanuatu (RBV) has gradually tightened its monetary policy stance in late 2023 and early 2024; by doubling the issue of RBV notes to VT200 million per month in October 2023 and increasing the commercial banks' statutory reserves deposit ratio, to 5.50 percent in January 2024; from 5.25 percent. However, the RBV policy rate remained at 2.25 percent. The RBV aims to control excess liquidity and keep inflation within its target range of 0-4 percent; thus, has gradually tightened its monetary policy stance. Inflation is expected to fall back to target in 2024, driven by easing international commodity prices and consistent domestic food supply. Furthermore, Official foreign reserves remain adequate, covering 6.9 months of imports as of May 2024, although high import financing, government debt payments, and reduced inflows from donors and government revenue pose

risks to the reserve levels. The RBV remains committed to tightening its policy tools to control liquidity and overall inflation, despite upside risks from geopolitical tensions, natural disasters, and potential cyclones.

At the end of June, the government's net operating balance, excluding donor funds, registered a deficit of VT 835.6 million. When donor funds are included, there is a surplus of VT 1,768.9 million for the first six months of this year. Scheduled repayments of external loans to date amounted to VT 762.3 million, with no domestic bond repayments. From January to June, government revenue totaled VT 18,911.5 million, representing 39.9 percent of the revised budget target. Receipts, including donor financing, reached VT 22,711.6 million, accounting for 40.8. percent of the revised budget target of VT 55,659.7 million. Government expenses for the past six months amounted to VT 19,747.0 million, reflecting a 23.7 percent increase compared to the same period last year. Government spending, including donor financing, reached VT 20,942.7 million, representing 46.4 percent of the revised budget target.

WORLD ECONOMIC OUTLOOK

The July 2024 World Economic Outlook Update presents a global economy at a crossroads. While maintaining the overall growth projection of 3.2 percent for 2024, the IMF has adjusted its 2025 forecast slightly upward to 3.3 percent. The IMF has highlighted significant regional disparities, with emerging markets and developing economies, particularly in Asia, showing stronger performance. China's growth forecast for 2024 has been revised upward to 5.0 percent, driven by rebounding private consumption and robust exports. Conversely, advanced economies face challenges, with the United States seeing a downward revision to 2.6 percent growth in 2024. The euro area shows signs of recovery, albeit modest, with a projected growth of 0.9 percent in 2024. The IMF emphasizes the complex interplay of factors affecting the global outlook, including persistent inflation in the services sector, evolving monetary policies, and the potential impact of geopolitical tensions on trade and economic stability.

The baseline forecast shows offsetting growth revisions have shifted the composition of growth. Among advanced economies, growth is expected to converge over the coming quarters. The growth forecast for emerging markets and developing economies has been revised upward due to stronger activity in Asia, particularly China and India. However, growth has been revised downward for Latin America and the Caribbean, the Middle East and Central Asia, and sub-Saharan Africa. The report emphasizes the need for policymakers to carefully calibrate and sequence the policy mix to restore price stability and address the legacies of recent crises, including replenishing lost buffers and durably uplifting growth.

Table 1: World Economic Outlook: Real GDP (year-over-year change; percent)

	World Economic Outlook								
	2021	2022	2023	2024	2025	2026	2027	2028	2029
World Output	6.5	3.5	3.3	3.2	3.3	3.2	3.1	3.1	3.1
Advanced Economies	5.7	2.6	1.7	1.7	1.8	1.8	1.7	1.7	1.7
US	5.8	1.9	2.5	2.6	1.9	2.0	2.1	2.1	2.1
Euro Area	5.9	3.4	0.5	9.0	1.5	1.4	1.3	1.3	1.2
Japan	2.6	1.0	1.9	0.7	1.0	0.8	0.6	0.6	0.4
Emerging Markets and Developing Economies	7.0	4.1	4.4	4.3	4.3	4.1	4.0	3.9	3.9
China	8.5	3.0	5.2	5.0	4.5	3.8	3.6	3.4	3.3

Source: International Monetary Fund, World Economic Outlook (WEO), July 2024

The outlook for advanced economies shows a convergence in growth over the coming quarters. The overall growth projection for advanced economies remains unchanged at 1.7 percent for 2024 and 1.8 percent for 2025. However, there are some notable variations among countries. The United States is projected to grow by 2.6 percent in 2024, slightly lower than previously forecast, with growth expected to slow to 1.9 percent in 2025 as the labour market cools and consumption moderates. The euro area is expected to see a modest pickup of 0.9 percent in 2024, driven by stronger momentum in services and higher-than-expected net exports. Japan's growth forecast for 2024 has been

revised downward to 0.7 percent due to temporary supply disruptions, but a turnaround in private consumption is expected in the second half of the year. Overall, while advanced economies are projected to maintain stable growth, they face challenges such as persistent inflation in services prices and the need to carefully manage monetary policy normalization.

The forecast for growth in emerging markets and developing economies has been revised upward. The projected increase is primarily driven by stronger activity in Asia, particularly in China and India. China's growth forecast has been revised upward to 5.0 percent in 2024, mainly due to a rebound in private consumption and strong exports in the first quarter. India's growth forecast has also been revised upward to 7.0 percent for the year. However, the outlook is not uniformly positive across all regions. Growth projections have been revised downward for Latin America and the Caribbean, with Brazil affected by flooding and Mexico experiencing moderation in demand. The Middle East and Central Asia face challenges from oil production cuts and regional conflicts, while sub-Saharan Africa's growth forecast has been revised downward, mainly due to weaker-than-expected activity in Nigeria. Overall, emerging markets and developing economies are expected to grow by 4.3 percent in both 2024 and 2025, showing resilience despite varied regional challenges and global economic uncertainties.

The global inflation is on a downward trajectory but faces challenges in its path to normalization. The global consumer price inflation decreased from 6.7 percent in 2023 to a projected 5.9 percent in 2024, with a further decline to 4.4 percent expected in 2025. However, the pace of disinflation is slowing, particularly in advanced economies, due to persistent inflation in services prices and higher commodity prices. The report highlights differing sectoral dynamics, with stronger disinflation in goods prices partially offsetting sticky services inflation. Emerging markets and developing economies are experiencing a slower decline in inflation compared to advanced economies.

The global outlook presents a balanced view of global economic risks, with some near-term concerns gaining prominence. On the upside, faster implementation of macrostructural reforms and policies promoting multilateralism could boost productivity, growth, and generate positive global spillovers. However, several downside risks loom larger. These include persistent inflation, particularly in the services sector, and potential price pressures from renewed trade or geopolitical tensions. The prospect of higher-for-longer interest rates could increase external, fiscal, and financial vulnerabilities. Economic policy uncertainty due to elections and the potential for increased protectionism pose additional challenges. Prolonged dollar appreciation might disrupt capital flows and complicate monetary policy easing in some economies. The report emphasizes that while overall risks remain balanced, policymakers must carefully navigate these challenges to maintain growth momentum and ensure a return to price stability.

REGIONAL ECONOMIC OUTLOOK

The Pacific Island Countries (PICs) are experiencing a robust recovery fueled by the reopening of borders. Tourism arrivals and remittances are rebounding significantly. Notably, Fiji, a leader in reopening, achieved pre-pandemic tourist levels in 2023, providing a positive signal for the region's tourism sector.

The July 2024 WEO update by the IMF largely maintains the growth projections outlined in the April 2024 WEO. The region is anticipated to grow at 4.0 percent in 2024 (*excluding Australia and New Zealand*), reflecting an upward revision from 3.3 percent the prior year. This growth is expected to moderate to 3.5 percent in 2025, followed by an average of 2.1 percent over the medium term. Vanuatu's growth trajectory is projected to be slower but steady, with forecasts of 3.0 percent and 3.5 percent in 2024 and 2025, respectively.

Papua New Guinea's initial growth projections have been revised downward due to the recent civil unrest. However, the IMF completed its second program review and expects positive growth of 4.5 percent for 2024. This outlook is supported by the resumption of major mining operations, particularly the Porgera gold mine, and favorable

commodity prices. The government has also undertaken ambitious fiscal consolidation efforts to strengthen debt sustainability.

Inflationary pressures are easing in the region, reflecting both domestic and global central bank efforts at monetary policy tightening. Growth projections for Australia and New Zealand remain unchanged for 2024 at 1.5 percent and 1.0 percent, respectively, with stable medium-term prospects.

However, the region remains exposed to external shocks. Ongoing Russia-Ukraine conflict tensions could disrupt supply chains, hamper international trade, and potentially cause renewed inflationary pressures. The ever-present challenge of climate change and natural disasters necessitates continued multilateral cooperation to support affected countries.

Table 2: Regional Economic Outlook: Real GDP (year-over-year change; percent)

Country	2021	2022	2023	2024	2025	2026	2027	2028	2029
<i>Pacific Region(excl Aus&NZ)</i>	-0.5	2.2	3.3	4.0	3.5	2.5	2.1	2.0	2.0
Fiji	-4.9	20.0	8.0	3.0	3.4	3.4	3.3	3.3	3.1
Kiribati	8.5	3.9	4.2	5.8	4.1	3.3	2.5	2.1	2.1
Marshall Islands	1.1	-0.7	3.0	3.0	2.0	1.8	1.5	1.5	1.5
Micronesia	3.0	-0.9	0.8	1.1	1.7	1.1	0.8	0.7	0.7
Nauru	7.2	2.8	0.6	1.6	1.3	1.2	0.9	1.0	0.8
Palau	-13.4	-2.0	0.8	12.4	11.9	3.5	2.0	1.5	1.5
Papua New Guinea	-0.8	5.2	2.7	4.5	3.7	3.5	3.1	3.1	3.1
Samoa	-7.1	-5.3	8.0	5.4	3.4	2.7	2.2	2.0	2.0
Solomon Islands	2.6	2.4	3.0	2.4	2.5	2.6	2.9	2.9	3.0
Tonga	-2.7	-2.0	2.6	2.5	2.4	1.4	1.2	1.2	1.2
Tuvalu	1.8	0.7	3.9	3.5	2.5	2.2	2.1	2.0	1.9
Vanuatu	-1.6	1.9	2.2	3.0	3.5	3.1	3.0	2.5	2.5
Australia	5.6	3.8	2.1	1.5	2.0	2.2	2.2	2.2	2.3
New Zealand	5.6	2.4	0.6	1.0	2.0	2.4	2.4	2.4	2.4

Source: IMF & Staff calculations

VANUATU ECONOMIC OUTLOOK

Overview

Vanuatu started 2024 on a cautiously optimistic note, with the economy having weathered the impacts of twin cyclones Judy and Kevin at the beginning of 2023 and TC Lola in October, and activity in key sectors such as tourism slowly recovering from the Covid-19 pandemic. The effects of the global inflationary shocks following the end of the pandemic and the war in Europe are also fading, with inflation falling in the first quarter of 2024, reaching 5.3 percent, down from its recent peak of 14.4 percent in quarter 2 of 2023. In the country, the RBV aims to control excess liquidity and keep inflation within its target range of 0-4 percent; thus, has gradually tightened its monetary policy stance.

The voluntary liquidation of Air Vanuatu in May 2024 has significantly clouded the outlook for the economy. It is likely that in the short run, output in the tourism and transport sectors will be directly and significantly affected, due to the sharp decline in the number of visitor arrivals. Other sectors, including retail, wholesale, finance, telecommunications, manufacturing, electricity production, and beef production will be hurt indirectly through a reduction in aggregate demand.

Overall, GDP growth for 2024 has been revised downwards to 2.8 percent, from the 3.3 percent forecasted in the first quarter. The main driver of this downgrade is the services sector, which has been downgraded from 4.6 percent growth in the first quarter to 3.3 percent. The agriculture and industry sectors have also both been downgraded, from 2.7 percent to 2.5 percent, and 6.8 percent to 5.7 percent respectively. The downward revision in the agriculture sector was further exacerbated by the absence of farmers who have traveled out temporarily for seasonal work

programs. Expectations are that the capital project may not be implemented fully in 2024 as planned therefore forecasted to spread over three years will be responsible for supporting growth over the medium within the industry sector, as well as having positive spillover to the agriculture and service sector.

Table 3: Real Gross Domestic Product Growth (% change)

Vanuatu Economic Outlook										
	<i>Actuals</i>		<i>Estimates</i>		<i>Forecast</i>					
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Real GDP Growth (2006 prices)	-5.0	-1.6	2.8	3.0	2.8	3.8	3.9	4.3	3.5	3.6
Agriculture, Fishing and Forestry	-2.7	2.7	2.5	-0.9	2.5	2.5	3.2	3.4	3.5	3.2
Industry	4.0	-1.3	4.9	4.6	5.7	9.8	9.5	10.3	3.9	4.1
Services	-6.7	0.4	3.2	4.6	3.3	3.6	3.2	3.4	3.0	3.2

On the downside, long-term reputation damage to Vanuatu as a tourist destination might affect tourist preference to come to Vanuatu as a result of air Vanuatu grounding and unexpected changes in domestic routes. Delays to implement capital investments could also lead to slower growth in the industry sector, while the risk of the Coconut Rhinoceros Beetle spreading to Malampa, Penama, and Torba provinces will impact copra production over the medium term. These risks come on top of the persistent risks faced by the Vanuatu economy, arising from lower-than-budgeted revenue collections, tropical cyclones, labour shortages, land disputes and issues surrounding the corresponding banking relationships.

Agriculture, Fisheries, and Forestry Sector

While experiencing consistent growth in the sector, the agriculture, fisheries, and forestry sector remain pivotal in the economic landscape amid challenges in the labour market and production. The projected growth rate for this sector in 2024 and 2025 is 2.5 percent, rising to 3.3 percent on average from 2025 – 29. With this sectoral growth, there are mixed developments in crop production, weaker than expected demand for animal production while there is stable developments in the forestry and fisheries subsectors that have contributed significantly to its developments.

The crop production remains a vital subsector projected to grow by 2.5 percent in 2024. Quarterly Statistical Indicators (QSI) of quarter 4 2023 produced by Vanuatu Bureau of Statistics shows that cocoa, kava, and coffee prices have increased significantly and remain steady in the first half of 2024 which would boost production of these commodities. The government continues to subsidise copra prices to sustain production mainly in rural areas. Challenges are still faced with commodity price movements, severe weather patterns, skilled and unskilled labour force temporarily leaving for seasonal work programs and Coconut Rhinoceros Beetle (CRB) presents in Santo likelihood of spreading to other northern provinces over the medium term.

Animal production is projected at 1.7 percent growth in 2024 and 2.0 percent in 2025. Developments have been hindered by supply shocks that affect exports however domestic demand is expected to remain steady in 2024 and 2025. The government maintains its ongoing support through pasture improvement programs, cattle restocking, and production of small ruminants. Downside risks are associated with the expiration of the lease of major plantations, farm maintenance, and a decline in the participation of small-scale holders. Solid domestic demand for timber production offsets declines in exports in the first half of 2024. Increased demand for timber is driven mainly by returning seasonal workers. Forestry is projected to grow by 2.4 percent in 2024 and 3.4 percent in 2025. Similarly, household demand for fish continues to remain solid with growth forecast at 3.0 percent in 2024 and 2025 respectively. Although retail prices per kg have increased in urban centers, demand still exceeds supply. A major challenge faced is the high cost of production due to the high price of fuel so often fresh fish is unaffordable for low-income earners.

The agriculture, fishing and forestry sectors growth remains sluggish compare to other sectors reflecting risks associated with labour shortage, exposure to natural disasters, and CBR spread. It is very important to derive policies that can enhance sustainable agriculture production.

Industry Sector

The Industry sector being the fastest growing sector in the economy is expected to continue to remain solid at 5.7 percent in 2024 and 9.8 percent in 2025. Growth is expected to be driven by the implementation of the 2024 capital project worth more than VT 14 billion, however, delays in implementation have caused a downward revision of growth in 2024 by 1.1 percentage points as previously forecasted in the first quarter of 2024.

Infrastructure projects have continued in both the private and public sectors. Public infrastructure projects have been the major driver of growth over the years in the construction sub-sector where growth is projected at 8.7 percent in 2024 and 13.1 percent in 2025. Ongoing major infrastructure projects driving growth in 2024 and 2025 include Vanuatu Road Rehabilitation Project Phase 2, Pentecost Road Phase 1, and Vanuatu Climate Resilient Transport of which private sector projects also contribute positively to growth estimate. In the private sector, a recent economic assessment in urban areas indicates an increasing number of building permits, signifying heightened activity within the construction subsector. In addition, more than VT 14 billion worth of Vanuatu Government Capital Projects budgeted to be implemented in 2024 has commenced but at a delayed pace. There a lot of factors associated with the delay such as the risk of overheating of the economy that could cause supply shocks, price and wage spiral, and capacity constraints. As such, project implementation is expected to spread over 3 years to mitigate such effects as well as address government fiscal management to achieve a successful execution plan. Major challenges include lower-than-expected revenue collection in 2024 that hinders project implementation plans, poor weather conditions, lack of special skills workforce and inflation.

Growth forecasts for manufacturing in 2024 and 2025 were 2.2 percent and 2.5 percent respectively. There is huge potential for the manufacturing industry in Vanuatu to expand supported with ongoing development programs funded by the 11th EDF, Industry Development Fund (IDF), Industry Support Fund (ISF), Micro Small and Medium Enterprise (MSME) projects that target domestic production and exports. Though huge government focus directed to manufacturing in recent years, local industries are still faced with skilled labour shortages, high prices of raw imported materials and labour drain to seasonal work programs. Growth in water and electricity is estimated at 2.0 percent in 2024 and is projected to surge to 9.0 percent in 2025. Lower than previously projected growth in 2024 simply reflects an expected slower demand for utility mainly in the tourism industry following the liquidation of the air Vanuatu on May 2024. There is an increase demand on solar energy for household consumption mainly in rural areas with the trend extending to urban areas lately. The hydropower expansion in Luganville and Brenwei in Malekula aims to reduce tariff charges to consumers. However, respondents from recent surveys reveal consumers from both Lakatoro and Luganville are still faced with high electric costs. This could require the attention of the regulator or the lag effect of the recent increase in fuel price.

Services Sector

Growth in 2023 is expected to have been relatively strong, at 4.6 percent, driven by faster growth within the accommodation and food services sector. This was driven by stronger-than-expected tourist arrivals data, which showed that total visitor arrivals for 2023 had reached 62.0 percent of 2019 levels. Cruise ship visitor numbers also performed well, while the Melanesian Arts and Cultural Festival (MACFEST) in July 2023 further boosted growth.

The outlook for the services sector has significantly worsened since the beginning of the year due to repeated delays and cancellations by Air Vanuatu and its eventual liquidation hampering the recovery of the tourism sector, with resorts reporting reduced turnover and squeezed margins. The final liquidation of Air Vanuatu in May 2024 pushed the services sector to a critical condition – while the main impacted sector is in the tourism-related services, mostly felt through the accommodation and food services sector. The repercussions of the liquidation will be felt elsewhere including wholesale, and information and communication.

Growth for 2024 in the services sector has been revised down to 3.3 percent, down from the 4.6 percent forecast in Q1. The main driver is accommodation and food services, where growth has been revised down to just 1.4 percent for 2024, with the remaining growth driven exclusively by domestic demand such as nakamals, while tourist-driven subsectors see flat growth. This modest growth contrasts with the 20.4 percent forecast in Q1. Within the accommodation and food sector, it is likely that the outer islands, especially Santo and Tanna will be the hardest hit since they have lost all air connectivity, while Port Vila is still accessible by other airlines.

Other sectors have also seen a downward revision from the first quarter due to the liquidation of Air Vanuatu, notably air transport (to -5.0 percent, from 5.0 percent), retail (to 3.0 percent from 4.2 percent), wholesale (to 1.5 percent from 2.0 percent) and telecommunication (to 2.8 percent, from 5.0 percent). These revisions mostly reflect the negative spillovers arising from the loss of tourism. Partially offsetting these falls, growth in the land and sea transport sector has been revised upwards to 6.5 percent, from 6.0 percent, due to an increase in shipping activities amidst a lack of domestic air connectivity.

While the loss of Air Vanuatu is undoubtedly negative for the services sector, it should be noted that there have been several more recent positive developments, such as the increase in the frequency of Virgin Australia flights to and from Brisbane and Fiji Airways flights to Nadi; as well as the quick resumption of Solomon's flights to Auckland and on the Brisbane-Santo route. Further, both Qantas and Jetstar have announced new routes to Brisbane and Sydney respectively, which should more than make up for the loss of Air Vanuatu's international capacity. This means that pending the resumption of domestic connectivity, there is potential for a strong end to the year following a troubled beginning. However, this will rely on the ability of the sector to bounce back, and initiatives to attract visitors will be crucial.

Elsewhere, growth within the finance and insurance sector is expected at a respectable 3.0 percent, reflecting moderate domestic activity as well as the continued flow of remittances, although growth is slower than in 2023 as a result of the winding down of Covid-19 support schemes, as well as a slight downgrade due to the liquidation of Air Vanuatu affecting business customers. This could lead to higher insurance premiums and a decrease in investment in the finance sector. The real estate sector is expected to post strong growth of 7.2 percent, due to strong demand for residential and commercial sales and rentals in urban areas, combined with new subdivisions. Public administration, the second largest subsector, is expected to grow at 1.8 percent as government and donor programs continue.

Looking ahead, overall growth in the services sector is expected to pick up slightly to 3.6 percent in 2025, again downgraded compared to MEC 1. However, beneath these figures, a divergent picture emerges. Growth in the accommodation and food services sector has been revised up, as the sector is expected to bounce back following the resumption of flights, growing at 21.3 percent up from the 19.0 percent forecast in quarter 1. It should be noted however that in levels terms, output in the sector remains 14 percent lower in 2025 than that which was forecast in quarter 1. This indicates that there will be some medium-term impact on the sector even after flights have resumed.

Offsetting this faster growth in accommodation and food services in 2025 is slower growth in the air transport sector, which is expected to grow at just 0.5 percent, and indeed not recover to its 2023 level until 2029. This is because even though international flights are expected to resume, they will be operated solely by foreign airlines, thus most of the activity will not be included in Vanuatu's GDP unlike before.

Over the medium term, growth in the services sector is expected to average 3.2 percent over 2026-2029. The key drivers are expected to be positive spill-over from the Capital Budget in sectors such as wholesale and professional services; the continued flow of remittances; and the eventual full recovery of the tourism sector.

The main risk to this outlook in the near term is that the impacts of Air Vanuatu's liquidation are more long-lasting. For example, anecdotal evidence suggests that some resorts in Santo laid off staff following the cancellation of flights, thus it may take longer for such businesses to recover. Over the latter years of the forecast period, the main

risk is that the Capital Budget is delayed or scaled back. This would result in fewer positive spillovers to the aforementioned sectors. Meanwhile, the persistent challenges faced by the services sector remain – including labour shortages, lack of skilled labour, and the high cost of doing business.

MONETARY AND EXTERNAL UPDATE

The Reserve Bank of Vanuatu (RBV) gradually tightened monetary policy in late 2023 and early 2024. Although the policy rate was kept at 2.25 percent. In October 2023, the RBV doubled the volume of RBV notes to VT200 million per month. In January 2024, the commercial banks' statutory reserves deposit ratio (SRD) was increased to 5.50 percent from 5.25 percent. Furthermore, the exchange rate regime has continued to help cushion the pass-through of import prices to domestic inflation. The RBV is likely to pursue further monetary policy tightening in the coming months to address the ongoing excess liquidity in the system.

In terms of monetary policy targets, inflation is projected to fall within the RBV's inflation target of 0-4 percent during the June quarter 2024 and remain within target until the December quarter of 2024. The deceleration in inflation largely reflected the easing in international commodity prices, including food and energy prices, the slowdown in inflation of Vanuatu's major trading partners, the consistent supply of domestic food and further tightening of the RBV's monetary policy stance. Similarly, official foreign reserves have remained adequate above the minimum threshold of 4.0 months of import for the first half of the year. At the end of May 2024 official reserves were sufficient to finance 6.9 months of imports. High import financing, government external debt payments, and a slowdown in inflows from donor funds and government revenue from abroad pose significant concerns to the current level of foreign reserves. Official reserves are projected to cover 6.7 months of imports at the end of 2024.

Monetary conditions remain supportive of growth, as money supply (M2) rose by 3.3 percent over the year to May 2024. M2 growth is projected at 3.2 percent over the year to June 2024 and 4.3 percent for the year to the end of 2024. Money growth was attributed to domestic credit, in particular the increase in net claims on the government and the rebound in private sector credit (PSC) from COVID levels. The upward trend in net claims on the central government with the banking system reflected the significant rise in domestic borrowing combined with the reduction in government deposits held with both the commercial banks and the Reserve Bank. Domestic credit is projected to drive money growth until the end of the year, given the expectations that the government will continue to borrow domestically as the need to source additional financing becomes more evident due to continuous fiscal challenges. Growth in net foreign assets (NFA) was relatively weak in the first half of 2024 and is forecasted to slow until the end of the year. This downward movement reflects net outflows of foreign currencies via both the Reserve Bank and Commercial banks. Overall, the subdued growth in NFA continues to reflect tighter international financial conditions, higher import costs, increased government external payments, and a slowdown in Government inflows from abroad, in terms of revenue and donor financing.

In terms of money components, M2 growth was attributed to both narrow money (M1) and quasi-money. The upward trend in M1 implies that money flows into the economy to support economic activities have risen during the first half of the year relative to the same period in 2023. Growth in currency in circulation was more pronounced and thus remains the main driver of M1. The high level of currency in circulation continues to reflect high personal consumption associated with the rebound in private sector credit, government spending, persistent inflows of remittances to individuals and households from seasonal workers abroad, and regular income from formal and informal employment. At the same time, residents have accumulated their interest-bearing deposits during the first half of 2024, relative to a year ago. This is attributed to a rise in quasi-money. Growth in M1 is projected to remain steady and will drive money growth until the end of the year.

In terms of financial stability, commercial banks in Vanuatu continue to be profitable, maintain a high level of liquidity, and have adequate capital during the first half of 2024. High levels of non-performing loans (NPLs) and

corresponding banking relationships are significant concerns. Efforts to address high NPLs are ongoing with some key components being outside the commercial banks' control such as ongoing delay in registration of mortgages as well as court foreclose processes. The majority of the banking sector loan books are performing loans. Commercial banks continue to maintain adequate levels of provisioning against any expected losses. Overall, financial stability is projected to be maintained in the short to medium term.

Inflation

Vanuatu's year on year headline inflation rate increased by 5.3 percent in the March quarter 2024, compared to 7.0 percent recorded over the December quarter 2023, and lower compared to 11.6 percent recorded over the same quarter of 2023. Prices have eased reflecting high peaks recorded in 2023, the lagged effects of reduction in international commodity prices, adequate domestic food supplies and compulsory use of scale in local markets amidst minimal domestic supply shocks. The underlying inflation rate rose by 3.2 percent over the March quarter relative to 8.4 percent over the December quarter 2023 reflecting eases in domestic prices of goods and services excluding food and energy prices. Though the underlying inflation rate rose over the quarter, it has nearly reached its normal trend of 2 percent recorded over the pre-pandemic period (2018-2019).

The main categories¹ contributing to the year-on-year inflation were food, drinks and tobacco, clothing and footwear, and household supplies. Accordingly, increases were driven by a notable increase in prices of fruits and vegetables, dairy and related products, meat and seafood, beer, spirits and tobacco, clothing, and home appliances. These all portray the spending patterns of the growing population on goods items contrary to services which recorded reductions in particular housing utilities, communication, and transport-related prices. Over the second quarter period, prices are estimated to remain low compared to the previous year's level with temporary spillover effects of the surge in airfare prices which are estimated to have an impact on overall transport prices over the reviewed period.

In terms of outlook, the year-ended headline inflation is projected to reach the RBV internal target of 0-4 percent throughout the rest of 2024 due to both international and domestic factors. International factors that are expected to slow down prices include a fall in global demand that is expected to weigh on overall prices². In addition, Vanuatu's main trading partners' headline inflation is forecasted to further drop this year relative to the previous year. Referring to domestic factors, adequate food supplies and lower overall demand particularly relating to the tourism sector, expected over the rest of the year will drive down overall prices. In addition, domestic fuel prices have been observed to have been falling over the first half of the year and are expected to remain volatile in line with international crude oil prices. Upside risks on the overall outlook remain including; the intensification of the Middle-Eastern war and OPEC oil production cuts, natural disasters such as the EL-NINO season from May to October, and any potential cyclones developing towards the end of the year. The RBV remains committed to further tightening its policy tools to control the level of liquidity and overall inflation.

Balance of Payments

Vanuatu's current account balance (CAB) is estimated to have improved by 78 percent in 2023 relative to 2022. Main developments included improved services receipts in particular tourism receipts and inward receipts from labor employed abroad; in particular the labor mobility program. Imports of goods further worsened reflecting pick up in domestic activities and increased prices abroad. The current account balance is estimated to ease slightly over the first six months of 2024 due to expected reductions in primary income balance and trade-in goods balance which is expected to offset reductions in services balance and secondary income balances.

Vanuatu's official foreign reserves registered a slower growth over the first five months of 2024 compared to the same period of 2023. This largely reflected increased demand for private import financing, public external debt financing, and a moderate increase in income from investments placed offshore. Similarly, grants from abroad

¹ Vanuatu Bureau of Statistics

² World Bank commodity price release July 2024

continued to grow at a moderate pace for recovery and development purposes. Overall, official reserves are sufficient to cover approximately 6.9 months of import cover at the end of May 2024.

In terms of outlook, the overall current account balance is expected to worsen in 2024 compared to 2023 underpinned mainly by high import payments with moderate increases in remittances and tourism receipts from abroad. Official reserves are expected to remain within RBV's target of 4 months of import cover at the end of 2024 as the Bank continues to monitor both domestic and international developments.

Exchange Rates

Movements of the Vatu vis-à-vis the major foreign trading currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. Over the period of January to June 2024, the Vatu appreciated against the AUD and NZD by 0.8 percent and 0.9 percent while it depreciated against the USD and EURO by 1.2 percent and 0.8 percent in nominal terms respectively. The RBV continues to pursue a stable nominal effective exchange rate in support of the current level of healthy foreign reserves in the Banking system.

FISCAL UPDATE³

Revenue

Government revenue recorded VT 2,911.3 million in June which is 30.3 percent less than the forecast of VT 4,289.6 million. Total Government receipts for the first six months of this year recorded a total amount of VT 18,911.5, this represents 39.9 percent of the revised budget target of VT 47,409.3 million and is 0.4 percent less than the VT 18,991.2 million that was collected during the same period last year. On average, revenue collections were 23.4 percent less than the budget forecast of VT 24,780.2 million for the first six months of this year.

VAT continues to be the main source of the Government's taxation revenue, recording VT 996.1 million in June, which is 29.1 percent lower than the forecast of VT 1,404.0 million. The amount collected so far this year is VT 7,352.1 million, this represents 41.5 percent of the annual budget target of VT 17,705.2 million⁴ and is 27.1 percent more than the VT 5,782.8 million that was collected in June last year.

Taxes on international trade and transactions, constituting import and export duties, are the second main source of Government tax revenue, collecting VT 375.0 million in June, which is 24.3 percent higher than the forecast of VT 301.7 million. The total amount collected at the end of June is VT 2,042.6 million, this comprises 45.6 percent of the budget target of VT 4,474.8 million and is 9.9 percent lower than the VT 2,266.6 million that was collected in June last year.

Excise tax collection was VT 266.9 million in June, which is 0.4 percent lower than the forecast of VT 268.0 million. To date, total Excise collection is VT 1,663.3 million; comprises 45.9 percent of the budget target of VT 3,627.1 million and is 12.1 percent lower than the VT 1,892.5 million that was collected during the same period last year.

Among other revenue, constituting fees and charges, the Vanuatu Development Support Program (VDSP), Vanuatu Contribution Program (VCP) and Capital Investment Immigration Plan (CIIP) together collected VT 901.3 million in June, which is 22.4 percent lower than the forecast of VT 1,165.5 million. To date total collections are VT 3,381.7 million; this represents 30.7 percent of the budget target of VT 10,983.8 million and is 27.3 percent lower than the VT 4,649.0 million that was collected during the same period in 2023.

Moving to development financing, as of the end of June, the Government has received VT 3,800.1 million worth of project grants from its development partners. The major sources of grant assistance came from Chinese

³ The figures described and explained in this section can be seen in Tables 7 to 12 at the end of this report, which show the Statements of Government Operations using GFS14 classification.

⁴ The VT 17,705.2 million budget for net VAT collections is the VAT expected to be received by the Government (VT 18,099.8 million) minus the VAT to be paid by the Government (VT 394.7 million).

contributions (VT 466.6 million) and Australian contributions (VT 306.2 million). Other contributing donors are gratefully acknowledged.

The total Government revenue (including Donor financing) recorded VT 22,711.6 million. This represents 41.0 percent of the revised budget target of VT 55,659.7 million and is 11.3 percent less than VT 25,605.9 million that was received during the same period in 2023.

Expense

Government expenses were VT 2,638.5 million in June, which is 6.9 percent lower than the forecast of VT 2,835.1 million. The major underspending items compared to the forecast this month were mainly operating grant expenses and permanent wages. Government expenses recorded VT 19,747.0 million during the first half of this year, this represents 53.0 percent of the 2024 revised budget target of VT 37,270.3 million and is 23.7 percent more than the VT 15,960.9 million that was spent during the same period a year ago.

On average, government expenses were 6.4 percent higher than the budget forecast of VT 18,560.0 million for the first six months of this year. The major overspending items include Other Operating Grants, which totaled VT 1,940.3 million against a budget target of VT 324.6 million, Special Allowances, which amounted to VT 214.5 million against zero annual budget, and Acting Allowances, which reached VT 152.4 million against a budget target of VT 46.7 million..

Net acquisition of non-financial assets has recorded VT 789.7 million at the end of June, representing 4.6 percent of the revised budget target of VT 17,087.8 million and is 6.6 percent more than the VT 741.0 million that was spent on net acquisitions of non-financial assets during the same period in 2023. The implementation of the capital budget is expected to be delayed and implemented in futures years as well due to lack of proper planning, limited capacity for agencies to implement the capital projects as well as tight Government's cash flow.

Under development financing, spending on project grants up to June reached VT 1,195.7 million. This represents 14.5 percent of the revised budgeted target of VT 8,250.3 million and is 13.0 percent more than the amount of VT 1,057.7 million that was spent on projects during the same period last year.

Thus, total expenditure, including Government and Development financing, was VT 20,942.7 million at the end of June. This represents 46.0 percent of the revised budget target of VT 45,520.6 million and is 23.1 percent more than the VT 17,018.5 million spent during the equivalent period in 2023.

Financing

In June, the total net operating balance for the Government, including donor funds, was a surplus of VT 205.3 million. The year-to-date total net operating balance for the Government, including donor funds, recorded at the end of June was in surplus of VT 1,768.9 million.

The net operating balance for Government excluding donor funds in June was a surplus of VT 353.4 million. The year-to-date total net operating balance for the Government operations, excluding donor funds, recorded at the end of June was a deficit of VT 835.6 million which is equivalent to -0.6 percent of GDP.

With lower revenue collection compile with higher expenditure, the Government has run a net operating deficit during the first six months of this year. However, the Government will continue to monitor its financial position with the possibility of implementing some revenue measures and expenditure control measures during the second half of this year.

To date, the Government has made a total repayment of VT 762.3 worth of external loan repayments with no domestic bond repayments but has issued a total of VT 3,928.6 million worth of domestic bonds.

REVENUE AND TAX POLICY

If there is one crucial area that requires greater attention from the government, it will be the need to expand its domestic revenue base to meet the ever-increasing public expenditure demand, as the current government continues to uphold this as one of its major priorities reflected within the revised NSDP plans for the next 6 years 2025 - 2030.

During the first six months of this financial year 2024, we have witnessed a mixed performance in the collection of revenue from all government current revenue initiatives. Some major revenue policy initiatives such as VAT, those from the Fisheries Sector, Department of Health, Ministry of Youth Development and Training, and Ministry of Internal Affairs have been on track as far as collections against budget forecasts are concerned.

Value Added Tax (VAT), Excise Tax and other revenue-collecting items have performed well in the past 6 months compared to previous years. While there are high expectations in VAT collections for the financial year 2024, the Ministry of Finance and Economic Management is reminded to ensure compliance efforts are strengthened and supported to ensure the results are achieved, without which the government will likely fall short of its recurrent revenue target for this financial year 2024.

On the other hand, a few other main revenue initiatives have performed below expectation such as those within the International trade and transaction, Ports and Harbour, and Department of Lands.

One of the key revenue initiatives that has fared less than anticipated is revenue collection from the citizenship program, which has recently received attention due to its continued declining trend in collections. It is becoming clear that the citizenship program's revenue collections will not be the same as they were in the past years. Revenue from the Citizenship Program has continued to decline in both the 2023 and 2024 financial years. Authorities are currently reviewing the policies that govern these initiatives and recommending adjustments that will help the program survive in the future.

Ongoing Revenue Policy Reforms

The Minister responsible for Finance and Economic Management has now confirmed appointments for its Revenue Governance Committee and a Revenue Technical Committee to assist the government in its effort to expand its domestic revenue base by working with the respective revenue-raising government ministries to identify potential revenue initiatives that can be implemented to boost its revenue base. Ministries are also encouraged to establish their own Revenue Governance Committees to ensure ownership and successful implementation of new revenue initiatives.

Vanuatu Commitments with OECD Global Forum and EU Code of Conduct

Vanuatu continues its efforts to meet international standards of good tax practices. This includes the ones set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG). Vanuatu is making ongoing progress in its obligations with the OECD Global Forum which eventually resulted in our approval to undergo an onsite review in Q2 or Q3 of financial year 2025. Officers from the Tax Policy Unit, along with the Vanuatu Competent Authority (VCA) are currently working on ensuring all requirements are in place before the review is launched.

Vanuatu is on the EU List of Non-Cooperative Jurisdictions for Tax Purposes due to its facilitation of offshore structures and arrangements that generate profits without real economic substance. Vanuatu has introduced two bills that are pending parliamentary approval. These are:

- Bill for the Resident Entity (Economic Substance) Act and Bill for the Resident Entity (Consequential Amendments) Act.

These Bills will require resident entities with a high risk of international tax evasion to demonstrate economic substance in Vanuatu. Before Vanuatu may be removed from the EU Black Lists, these bills must be approved by

Parliament and published in the Gazette before Vanuatu responds to EU to provide their review on the requirement. The next meeting of the EU Council to update the list of non-compliant jurisdictions is in October 2024, this implies that if the Economic Substance Bills are passed before then, Vanuatu should be removed from the list of non-cooperative countries during this meeting.

Box 1: Ongoing Policies Interventions

1. The Tax Administration Act

The new Tax Administration Act (TAA) which came into force on 1st January 2020 is intended to strengthen efforts in the collection and administration of taxes, strengthen compliance, and oblige taxpayers to lodge timely payments and avoid penalties. Unfortunately, its full implementation has been severely challenged by the COVID-19 pandemic throughout 2022 but better outcomes are anticipated in 2023, 2024 and beyond. Staffing remains a huge need for DCIR. More qualified staff needs to be recruited to boost revenue compliance.

Use of Technology to strengthen compliance and Administrations of Tax revenue

The Tax Administration Act established a service-based infrastructure that facilitates electronic payments and filings, as well as improved customs procedures, to assist taxpayers in fulfilling their obligations. There is still uncertainty, nonetheless, over the current systems' ability to assist the government in fully capturing all necessary state revenue. It is consequently recommended that DCIR looks into other methods to aid in their efforts to promote revenue compliance and administration. The government has set aside around VT 300 million for the purchase of a cutting-edge VAT monitoring system, and work is currently underway.

2. Review and strengthening of the collection of Non-Tax Revenue

The Government through the interventions from the Revenue Policy Unit and line departments continues its efforts to review existing fees and charges collected by each of its agencies and finds ways to strengthen areas that are deemed as lacking in ensuring that revenue administration and compliance are active. A Non-Tax Revenue review is planned to be carried out soon in collaboration with all line ministries who collect revenue on behalf of the government.

Outstanding Revenue

The concerns surrounding unresolved revenue payments within line ministries and agencies will remain until all outstanding payments are cleared. Adequate policies must be put in place to control the accumulation of unpaid tax dues. Current outstanding non-tax revenue stands at VT 1.7 billion. Outstanding VAT revenue is likely to be more than VT 4.0 billion despite new regulations in the Tax Administration Act concerning late payments and related penalties.

The main reasons for the Government not yet fully addressing its outstanding revenue include:

- I. A lot of the current outstanding debts have exceeded their status of limitation validity;*
- II. Accumulation of penalties and lack of stringent compliance efforts from both the Departments as well as taxpayers have contributed to the ongoing accumulation of outstanding payments; and*
- III. Companies have closed down or liquidated and company owners may have already left the country or died with taxes owed still being recorded as outstanding.*

The National Write-off Committee is now inactive, but the Ministry intends to revive it so that it may continue working with other authorities to handle the backlog of outstanding revenue. This can ensure an in-depth assessment of the outstanding revenue balances that will better inform decisions to write-off as necessary so that outstanding balances represent a true and fair view of the government's receivables.

The implementation of all approved Government expenditure programs and activities for the budget year depends on revenue collection. The Government will continue to boost its revenue collection by strengthening the administration, compliance, and enforcement of existing tax laws as well as newly-introduced fees and charges to boost revenue collection efforts.

PUBLIC DEBT

Due to the significant decrease in revenue from the citizenship program and increasing pressure on expenditures, there is an urgent need to proactively manage the primary fiscal balance. To effectively tackle these challenges, it is essential to strengthen our Medium-Term Debt Management Strategy.

The current total debt is VT 60.0 billion, which is 45.0 percent of the GDP. Out of this, VT 41.0 billion is external debt, accounting for 31.0 percent of the GDP, while VT 16.6 billion is domestic debt, representing 12.6 percent of the GDP. In addition, the government guarantees stock stood at VT 2.0 billion. It is crucial to carefully manage public debt to ensure long-term fiscal sustainability.

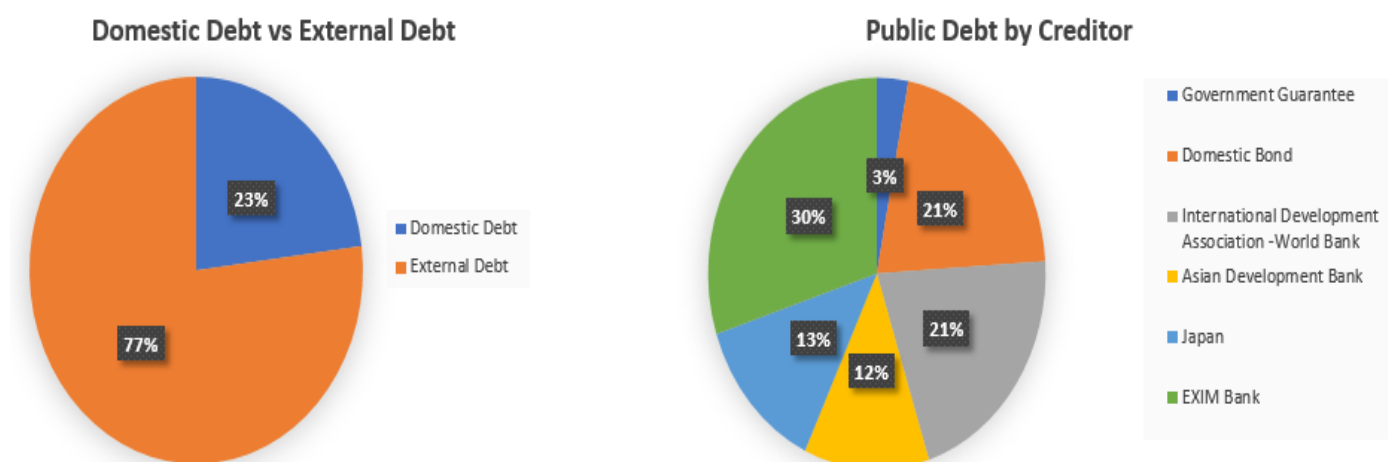
The government's strategy regarding borrowing from external creditors is twofold. Firstly, it will continue borrowing with a 35.0 percent grant element, ensuring that a substantial portion of funds comes in the form of grants or highly concessional financing to minimize the financial burden on future generations. Secondly, the government will only borrow for capital projects that promise long-term benefits and economic growth, focusing on productive investments that generate returns and bolster infrastructure. To finance next year's budget through domestic bonds, the government plans to roll over all maturing bonds and limit new bond issuance to VT 2.0 billion, maintaining fiscal responsibility. To strengthen public debt management, a specialized Debt Management Committee will oversee all aspects of borrowing, repayment, and risk management. Additionally, the government will develop a comprehensive Public Debt Management Regulation to ensure clear guidelines, transparency, and accountability in managing the country's debt.

Table 4: Statement of Debt Stock & Composition⁵

Statement of Debt Stock, showing the Government's Stock of Debt in Millions of Vanuatu VATU								
	2021 Actuals	2022 Actuals	2023 Actuals	2024 As of June	2025 Forecast	2026 Forecast	2027 Forecast	2028 Forecast
External Loan	39,789.1	40,618.2	40,788.4	40,876.4	40,931.1	43,128.8	43,915.9	44,117.8
Domestic Bond	8,179.2	10,523.2	12,709.8	16,638.4	18,138.4	19,638.4	21,138.4	22,638.4
Government Guarantees	1,900.4	1,904.4	1,948.5	2,020.9	45.8	39.0	32.1	25.2
Total Public Debt	49,868.6	53,045.8	55,446.8	59,535.8	59,115.4	62,806.2	65,086.4	66,781.5
<i>Total Debt-To-GDP Ratio</i>	48%	49%	48%	45%	42%	41%	40%	38%
<i>External Debt-To-GDP Ratio</i>	38%	38%	35%	31%	29%	28%	27%	25%
<i>Domestic Debt-To-GDP Ratio</i>	8%	10%	11%	13%	13%	13%	13%	13%

Source: Ministry of Finance and Economic Management

⁵ These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

Figure 1: Public Debt Composition

Source: Ministry of Finance and Economic Management

The MTDS 2023-2026 establishes debt management targets based on Vanuatu's current debt portfolio and management objectives. The government will prioritize domestic financing, long-term maturity of securities, and prepayment of loans with less than 35.0 percent grant element. Efforts will also focus on developing the domestic debt market to enhance depth, liquidity, and efficiency while expanding the investor base to reduce dependency on a few investors. These targets aim to minimize costs and risks, providing measurable guidelines for monitoring

Table 5: Key Targets 2023-2026

	Current	Target
Domestic debt ATM (years)	6.7	Above 10 years
Debt refixing in one year (%)	8.7	Below 6 percent
FX debt as a percentage of total debt	78	below 70 percent
Total Debt as a percentage of Nominal GDP	45	Below 60 percent
External Debt as a percentage of Nominal GDP	31	Below 40 percent
Domestic Debt as a Percentage of Nominal GDP	12	Below 20 percent

Vanuatu's Debt to DGP in Net Present Value

Vanuatu has been the only country regionally with a moderate debt distress rating for a while now when compared to other countries regionally. Still recovering from all three cyclones last year and compounding with Air Vanuatu's liquidation, the moderate rate of debt distress rating may again be factored by the IMF to increase to a high debt distress rating. The rating can be short-lived pending how quickly the Country can recover and in the event that Air Vanuatu's liquidation saga ends well this year with a better scenario than the one where the Government is expected to assume all Air Vanuatu outstanding. Vanuatu continues its debt service payments for both domestic and external creditors. It is one of the very few countries in the world that has a program of debt prepayments every year to manage its debt stock (both domestic and external) and this year will see a break from this as it manages more urgent demands.

If the IMF increases Vanuatu's debt distress rating, the country will halt all borrowing and rely solely on grants for project financing. The World Bank's International Development Assistance and the Asian Development Bank's Country Program will convert their 50/50 grant-credit arrangements into full 100.0 percent grants, each worth about

USD 74.0 million. These funding packages, renewed every five years, will undergo consultations on priority areas later this year or early next year. Currently, Vanuatu also uses debt financing for infrastructure projects with positive economic returns, although greater scrutiny is being applied to new projects. The government is committed to prudent monitoring of debt costs and risks to ensure medium to long-term debt sustainability.

Furthermore, Figure 2 illustrates the present value (PV) of the total external debt baseline (blue) to remain for the near term below the 40 percent threshold (green dotted line), but the space at which to borrow is now greatly affected by the rise in the baseline in the current trajectory to intersect the threshold in the year 2027. The light green line indicates the alternative effect to the baseline (blue) if Vanuatu was to lose completely the Economic Citizenship Program (ECP). Last year’s publications of the UK visa-free suspension with increased scrutiny of our Citizenship program abroad have affected the number of new citizenship applications. The granularity in the risk rating indicates limited space to absorb shocks, which underscores the importance of creating fiscal space to accommodate future unprecedented occurrences.

Figure 2: Forecasts of Vanuatu’s Debt-to-GDP ratio in Net Present Value terms, under different conditions



Source: 2023 IMF, Ministry of Finance and Economic Management calculations

Again, despite the moderate ranking in debt distress, Vanuatu will need to continue to dialogue with all its development and multilateral partners as it seeks to path new revenue alternatives both domestically and internationally. Vanuatu continues to be ranked first as the country in the world which is the most vulnerable country to natural disasters. As such, Vanuatu must not only invest in public resilient infrastructure projects but must also be bold in seeking new revenue and financing options including from the domestic market.

Table 6: Statement of Government Operations excluding Donor Financing using GFS14 Classification, January – June 2024

GFS Description	Budget 2024	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:									
Revenue	47,409.3	18,911.5	39.9%	3,625.6	3,765.4	2,695.0	2,844.5	2,989.0	2,991.9
Taxes	29,662.0	13,660.1	46.1%	2,779.6	2,487.2	2,148.1	2,161.0	2,111.9	1,972.2
<i>Taxes on income, profits, and capital gains</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on payroll & workforce</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on property</i>	980.3	402.6	41.1%	41.0	57.9	32.1	69.0	119.3	83.3
<i>Taxes on goods & services</i>	24,206.9	11,214.8	46.3%	2,407.6	2,118.7	1,784.0	1,732.8	1,657.8	1,514.0
<i>Value-added taxes</i>	17,705.2	7,352.1	41.5%	1,467.4	1,224.1	1,297.0	1,189.7	1,177.9	996.1
<i>Excises</i>	3,627.1	1,663.3	45.9%	367.2	271.0	251.6	243.5	263.1	266.9
<i>Taxes on international trade & transactions</i>	4,474.8	2,042.6	45.6%	331.1	310.6	332.0	359.1	334.8	375.0
<i>Other taxes</i>	-	-	0.0%	-	-	-	-	-	-
Social contributions	-	-	0.0%	-	-	-	-	-	-
Grants	182.0	59.4	32.6%	59.4	-	-	-	-	-
Other revenue	17,565.3	5,192.0	29.6%	786.6	1,278.2	546.9	683.6	877.1	1,019.6
Expense	37,270.3	19,747.0	53.0%	2,285.4	2,306.9	4,676.3	3,800.6	4,039.4	2,638.5
Compensation of employees	20,242.8	8,963.4	44.3%	1,071.6	1,466.4	2,147.8	1,442.8	1,421.7	1,413.1
Use of goods and services	9,464.5	4,975.5	52.6%	292.1	653.3	1,295.1	829.4	1,093.4	812.2
Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
Interest	1,067.4	417.4	39.1%	14.5	-	134.3	172.6	66.5	29.6
Subsidies	190.0	65.7	34.6%	0.8	-	25.3	10.3	24.4	4.9
Grants	3,987.4	4,113.2	103.2%	838.0	134.4	738.0	859.8	1,399.2	143.8
Social benefits	566.2	331.6	58.6%	3.0	1.2	161.4	165.4	(68.2)	68.7
Other expense	1,752.0	880.2	50.2%	65.5	51.7	174.3	320.2	102.4	166.1
Gross operating balance (1-2+23+NOBz)	10,139.1	(835.6)		1,340.2	1,458.6	(1,981.2)	(956.1)	(1,050.3)	353.4
Net operating balance (1-2+NOBz)	10,139.1	(835.6)		1,340.2	1,458.6	(1,981.2)	(956.1)	(1,050.3)	353.4
% of GDP	7.5%	-0.6%		1.0%	1.1%	-1.5%	-0.7%	-0.8%	0.3%
TRANSACTIONS IN NONFINANCIAL ASSETS:									
Net Acquisition of Nonfinancial Assets	17,087.8	789.7	4.6%	286.4	94.7	12.8	68.4	251.8	75.5
Fixed assets	17,087.8	789.7	4.6%	286.4	94.7	12.8	68.4	251.8	75.5
Change in inventories	-	-	0.0%	-	-	-	-	-	-
Valuables	-	-	0.0%	-	-	-	-	-	-
Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
Net lending / borrowing (1-2+NOBz-31)	(6,948.7)	(1,625.2)		1,053.7	1,363.8	(1,994.0)	(1,024.5)	(1,302.1)	277.9
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):									
	-5.1%	-1.2%		0.8%	1.0%	-1.5%	-0.8%	-1.0%	0.2%
Net acquisition of financial assets	(3,887.3)	1,541.1	0.0%	1,053.7	1,363.8	(1,590.7)	964.9	(1,376.7)	1,126.1
Domestic	(3,887.3)	1,541.1	0.0%	1,053.7	1,363.8	(1,590.7)	964.9	(1,376.7)	1,126.1
Foreign	-	-	0.0%	-	-	-	-	-	-
Net incurrence of liabilities	3,061.4	3,166.3	103.4%	-	-	403.3	1,989.4	(74.6)	848.2
Domestic creditors	5,181.7	3,928.6		-	-	1,000.0	2,000.0	-	928.6
External creditors	(2,120.3)	(762.3)	36.0%	-	-	(596.7)	(10.6)	(74.6)	(80.5)

Source: Department of Finance and Treasury

Table 7: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, January – June 2024

GFS Description	Budget 2024	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:									
Revenue	8,250.3	3,800.1	46.1%	510.3	152.2	420.5	547.2	318.5	1,851.4
Taxes	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on income, profits, and capital gains</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on payroll & workforce</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on property</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on goods & services</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on international trade & transactions</i>	-	-	0.0%	-	-	-	-	-	-
<i>Other taxes</i>	-	-	0.0%	-	-	-	-	-	-
Social contributions	-	-	0.0%	-	-	-	-	-	-
Grants	8,250.3	3,800.1	46.1%	510.3	152.2	420.5	547.2	318.5	1,851.4
Other revenue	-	-	0.0%	-	-	-	-	-	-
Expense	8,250.3	1,195.7	14.5%	62.6	183.8	170.5	335.9	193.5	249.3
Compensation of employees	478.1	106.2	22.2%	10.4	15.4	21.5	14.6	22.7	21.7
Use of goods and services	6,140.0	929.9	15.1%	29.8	144.8	123.1	244.8	168.7	218.6
Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
Interest	6.7	-	0.0%	-	-	-	-	-	-
Subsidies	15.0	0.5	0.0%	-	-	0.2	0.3	-	-
Grants	1,166.9	136.9	11.7%	11.9	22.6	25.5	74.8	2.2	-
Social benefits	432.2	18.6	4.3%	10.4	0.9	-	1.2	-	6.1
Other expense	11.5	3.5	30.2%	0.2	0.1	0.2	0.1	(0.0)	2.9
Gross operating balance (1-2+23+NOBz)	-	2,604.5		447.7	(31.6)	249.9	211.3	125.0	1,602.1
Net operating balance (1-2+NOBz)	-	2,604.5		447.7	(31.6)	249.9	211.3	125.0	1,602.1
<i>% of GDP</i>	0.0%	1.9%		0.3%	0.0%	0.2%	0.2%	0.1%	1.2%
TRANSACTIONS IN NONFINANCIAL ASSETS:									
Net Acquisition of Nonfinancial Assets	6,888.4	1,336.5	19.4%	549.3	85.2	186.9	160.0	231.9	123.2
Fixed assets	6,888.4	1,336.5	19.4%	549.3	85.2	186.9	160.0	231.9	123.2
Change in inventories	-	-	0.0%	-	-	-	-	-	-
Valuables	-	-	0.0%	-	-	-	-	-	-
Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
Net lending / borrowing (1-2+NOBz-31)	(6,888.4)	1,268.0		(101.6)	(116.9)	63.1	51.3	(106.9)	1,478.9
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):									
	-5.1%	0.9%		-0.1%	-0.1%	0.0%	0.0%	-0.1%	1.1%
Net acquisition of financial assets	-	1,268.0	0.0%	(101.6)	(116.9)	63.1	51.3	(106.9)	1,478.9
Domestic	-	1,268.0	0.0%	(101.6)	(116.9)	63.1	51.3	(106.9)	1,478.9
Foreign	-	-	0.0%	-	-	-	-	-	-
Net incurrence of liabilities	6,671.6	-	0.0%	-	-	-	-	-	-
Domestic creditors	-	-	0.0%	-	-	-	-	-	-
External creditors	6,671.6	-	0.0%	-	-	-	-	-	-

Source: Department of Finance and Treasury

Table 8: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, January – June 2024

GFS Description	Budget 2024	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:									
Revenue	55,659.7	22,711.6	40.8%	4,092.5	3,917.5	3,126.9	3,381.5	3,307.7	3,093.1
Taxes	29,662.0	13,660.1	46.1%	2,779.6	2,487.2	2,148.1	2,161.0	2,111.9	1,972.2
<i>Taxes on income, profits, and capital gains</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on payroll & workforce</i>	-	-	0.0%	-	-	-	-	-	-
<i>Taxes on property</i>	980.3	402.6	41.1%	41.0	57.9	32.1	69.0	119.3	83.3
<i>Taxes on goods & services</i>	24,206.9	11,214.8	46.3%	2,407.6	2,118.7	1,784.0	1,732.8	1,657.8	1,514.0
<i>Value-added taxes</i>	17,310.5	6,696.2	38.7%	1,443.3	1,168.4	1,159.4	1,096.0	1,103.8	725.2
<i>Excises</i>	3,627.1	1,663.3	45.9%	367.2	271.0	251.6	243.5	263.1	266.9
<i>Taxes on international trade & transactions</i>	4,474.8	2,042.6	45.6%	331.1	310.6	332.0	359.1	334.8	375.0
<i>Other taxes</i>	-	-	0.0%	-	-	-	-	-	-
Social contributions	-	-	0.0%	-	-	-	-	-	-
Grants	8,432.3	3,859.5	45.8%	510.3	152.2	420.5	547.2	318.5	101.1
Other revenue	17,565.3	5,192.0	29.6%	802.5	1,278.0	558.3	673.4	877.3	1,019.7
Expense	45,520.6	20,942.7	46.0%	2,348.0	2,490.7	4,846.8	4,136.5	4,232.9	2,887.8
Compensation of employees	20,721.0	9,069.6	43.8%	1,081.9	1,481.8	2,169.3	1,457.4	1,444.3	1,434.8
Use of goods and services	15,604.5	5,905.4	37.8%	321.8	798.1	1,418.3	1,074.2	1,262.2	1,030.8
Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
Interest	1,074.0	417.4	38.9%	14.5	-	134.3	172.6	66.5	29.6
Subsidies	205.0	66.3	32.3%	0.8	-	25.6	10.6	24.4	4.9
Grants	5,154.3	4,250.1	82.5%	849.9	157.0	763.5	934.6	1,401.3	143.8
Social benefits	998.4	350.2	35.1%	13.4	2.1	161.4	166.7	(68.2)	74.8
Other expense	1,763.5	883.6	50.1%	65.7	51.8	174.6	320.3	102.3	169.0
Gross operating balance (1-2+23+NOBz)	10,139.1	1,768.9		1,744.4	1,426.8	(1,719.9)	(755.0)	(925.1)	205.3
Net operating balance (1-2+NOBz)	10,139.1	1,768.9		1,744.4	1,426.8	(1,719.9)	(755.0)	(925.1)	205.3
% of GDP	7.5%	1.3%		1.3%	1.1%	-1.3%	-0.6%	-0.7%	0.2%
TRANSACTIONS IN NONFINANCIAL ASSETS:									
Net Acquisition of Nonfinancial Assets	23,976.2	2,126.2	8.9%	835.8	180.0	199.7	228.4	483.7	198.6
Fixed assets	23,976.2	2,126.2	8.9%	835.8	180.0	199.7	228.4	483.7	198.6
Change in inventories	-	-	0.0%	-	-	-	-	-	-
Valuables	-	-	0.0%	-	-	-	-	-	-
Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
Net lending / borrowing (1-2+NOBz-31)	(13,837.2)	(357.2)		908.6	1,246.8	(1,919.6)	(983.4)	(1,408.8)	6.6
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):									
	-10.2%	-0.3%		0.7%	0.9%	-1.4%	-0.7%	-1.0%	0.0%
Net acquisition of financial assets	(4,104.2)	2,809.0	0.0%	908.6	1,246.8	(1,516.3)	1,006.1	(1,483.4)	854.8
Domestic	(4,104.2)	2,809.0	0.0%	908.6	1,246.8	(1,516.3)	1,006.1	(1,483.4)	854.8
Foreign	-	-	0.0%	-	-	-	-	-	-
Net incurrence of liabilities	9,732.9	3,166.3	32.5%	-	-	403.3	1,989.4	(74.6)	848.2
Domestic creditors	5,181.7	3,928.6		-	-	1,000.0	2,000.0	-	928.6
External creditors	4,551.3	(762.3)	-16.8%	-	-	(596.7)	(10.6)	(74.6)	(80.5)

Source: Department of Finance and Treasury

Table 9: Statement of Government Operations excluding Donor Financing using GFS14 Classification, 2021 - 2028

GFS Description	Actual 2021	Actual 2022	Actual Jan - Dec 2023	Actual Jan - Jun 2023	Revised Budget 2024	Actuals Jan - Jun 2024	Forecast 2025	Forecast 2026	Forecast 2027	Forecast 2028
TRANSACTIONS AFFECTING NET WORTH:										
Revenue	33,004.7	29,578.7	37,121.0	18,991.2	47,409.3	18,911.5	38,228.5	39,930.7	41,863.2	45,204.0
Taxes	16,339.3	18,982.3	24,202.7	11,654.2	29,662.0	13,660.1	25,217.1	26,293.4	27,499.0	28,451.5
<i>Taxes on income, profits, and capital gains</i>	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Taxes on payroll and workforce</i>	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Taxes on property</i>	467.7	450.9	489.4	181.1	980.3	402.6	523.0	548.2	577.4	599.5
<i>Taxes on goods and services</i>	11,908.7	14,477.5	18,811.4	9,206.4	24,206.9	11,214.8	20,024.3	20,850.8	21,803.6	22,537.8
<i>Taxes on international trade and transactions</i>	3,962.9	4,053.8	4,902.0	2,266.6	4,474.8	2,042.6	4,669.7	4,894.3	5,118.0	5,314.2
<i>Other taxes</i>	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grants	1,238.2	979.2	1,837.4	1,349.2	182.0	59.4	0.0	0.0	0.0	1,837.4
Other revenue	15,427.3	9,617.2	11,080.9	5,987.8	17,565.3	5,192.0	13,011.5	13,637.3	14,364.2	14,915.0
Expense	33,168.6	32,259.8	36,129.6	15,960.8	37,270.3	19,747.0	36,125.6	37,182.1	37,915.9	38,662.1
Compensation of employees	16,571.0	17,057.6	17,093.6	7,930.9	20,242.8	8,963.4	20,634.9	21,058.2	21,490.9	21,933.0
Use of goods and services	6,952.0	7,203.0	9,735.6	3,727.4	9,464.5	4,975.5	7,782.3	7,947.8	8,117.1	8,290.0
Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest	905.4	999.3	1,114.7	385.3	1,067.4	417.4	1,265.7	1,596.6	1,588.8	1,577.2
Subsidies	410.1	325.6	113.0	48.7	190.0	65.7	194.2	198.5	202.8	207.3
Grants	3,427.3	3,336.1	5,096.8	2,623.7	3,987.4	4,113.2	3,921.6	4,007.7	4,095.7	4,185.6
Social benefits	615.0	1,131.0	1,144.9	419.6	566.2	331.6	545.8	557.7	569.9	582.4
Other expense	4,287.7	2,207.2	1,831.1	825.1	1,752.0	880.2	1,781.2	1,815.6	1,850.7	1,886.7
<i>Gross operating balance (1-2+23+NOBz)</i>	<i>(163.9)</i>	<i>(2,681.1)</i>	<i>991.4</i>	<i>3,030.3</i>	<i>10,139.1</i>	<i>-835.6</i>	<i>2,102.9</i>	<i>2,748.6</i>	<i>3,947.3</i>	<i>6,541.9</i>
<i>Net operating balance (1-2+NOBz)</i>	<i>(163.9)</i>	<i>(2,681.1)</i>	<i>991.4</i>	<i>3,030.3</i>	<i>10,139.1</i>	<i>-835.6</i>	<i>2,102.9</i>	<i>2,748.6</i>	<i>3,947.3</i>	<i>6,541.9</i>
TRANSACTIONS IN NONFINANCIAL ASSETS:										
Net investment in nonfinancial assets	1,563.3	1,386.3	2,971.5	741.0	17,087.8	789.7	3,772.0	3,772.0	3,772.0	3,772.0
Fixed assets	1,563.3	1,386.3	2,971.5	741.0	17,087.8	789.7	3,772.0	3,772.0	3,772.0	3,772.0
Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Net lending / borrowing (1-2+NOBz-31)</i>	<i>(1,727.2)</i>	<i>(4,067.5)</i>	<i>(1,980.1)</i>	<i>2,289.3</i>	<i>(6,948.7)</i>	<i>(1,625.2)</i>	<i>(1,669.1)</i>	<i>(1,023.4)</i>	<i>175.3</i>	<i>2,769.9</i>
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
Net acquisition of financial assets	(4,753.6)	(4,020.2)	(2,228.4)	2,474.8	(3,887.3)	1,541.1	(5,102.2)	(3,921.5)	(3,233.9)	(605.6)
Domestic	(4,753.6)	(4,020.2)	(2,228.4)	2,474.8	(3,887.3)	1,541.1	(5,102.2)	(3,921.5)	(3,233.9)	(605.6)
<i>Currency and deposits</i>	<i>(4,753.6)</i>	<i>(4,020.2)</i>	<i>(2,228.4)</i>	<i>2,474.8</i>	<i>(3,887.3)</i>	<i>1,541.1</i>	<i>(5,102.2)</i>	<i>(3,921.5)</i>	<i>(3,233.9)</i>	<i>(605.6)</i>
<i>Loans</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	(3,026.4)	47.3	(248.3)	185.4	3,061.4	3,166.3	(3,433.1)	(2,898.1)	(3,409.2)	(3,375.6)
Domestic	137.3	2,344.1	2,186.6	1,004.4	5,181.7	3,928.6	0.0	0.0	0.0	0.0
External	(3,163.7)	(2,296.8)	(2,434.9)	(818.9)	(2,120.3)	(762.3)	(3,433.1)	(2,898.1)	(3,409.2)	(3,375.6)

Source: Department of Finance and Treasury

Table 10: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, 2021 – 2028

GFS Description	Actual 2021	Actual 2022	Actual Jan - Dec 2023	Actual Jan - Jun 2023	Revised Budget 2024	Actuals Jan - Jun 2024	Forecast 2025	Forecast 2026	Forecast 2027	Forecast 2028
TRANSACTIONS AFFECTING NET WORTH:										
Revenue	10,518.9	8,801.0	10,010.7	6,614.7	8,250.3	3,800.1	9,603.6	8,735.9	9,169.8	8,952.8
Taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Taxes on income, profits, and capital gains</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on payroll and workforce</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on property</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on goods and services</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Taxes on international trade and transactions</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Other taxes</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grants	10,518.9	8,801.0	10,010.7	6,614.7	8,250.3	3,800.1	9,603.6	8,735.9	9,169.8	8,952.8
Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Expense	5,066.0	5,659.7	2,646.8	1,057.7	8,250.3	1,195.7	9,603.6	8,735.9	9,169.8	8,952.8
Compensation of employees	202.9	487.3	277.4	118.7	478.1	106.2	583.6	530.9	557.2	544.1
Use of goods and services	3,789.7	4,116.2	2,137.7	885.3	6,140.0	929.9	7,027.9	6,392.9	6,710.4	6,551.7
Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest	0.0	2.4	2.2	0.0	6.7	0.0	8.1	7.4	7.8	7.6
Subsidies	17.4	12.9	4.8	4.6	15.0	0.5	18.3	16.6	17.5	17.0
Grants	1,157.5	969.5	191.4	24.8	1,166.9	136.9	1,424.2	1,295.5	1,359.9	1,327.7
Social benefits	-113.9	-25.6	22.1	16.0	432.2	18.6	527.5	479.8	503.7	491.8
Other expense	12.4	97.0	11.2	8.3	11.5	3.5	14.0	12.7	13.4	13.1
<i>Gross operating balance (1-2+23+NOBz)</i>	<i>5,453.0</i>	<i>3,141.3</i>	<i>7,363.9</i>	<i>5,557.1</i>	<i>0.0</i>	<i>2,604.5</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>Net operating balance (1-2+NOBz)</i>	<i>5,453.0</i>	<i>3,141.3</i>	<i>7,363.9</i>	<i>5,557.1</i>	<i>0.0</i>	<i>2,604.5</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
TRANSACTIONS IN NONFINANCIAL ASSETS:										
Net investment in nonfinancial assets	5,058.7	4,900.7	5,407.3	2,397.3	6,888.4	1,336.5	2,819.2	1,700.2	440.0	1,378.9
Fixed assets	5,058.7	4,900.7	5,407.3	2,397.3	6,888.4	1,336.5	2,819.2	1,700.2	440.0	1,378.9
Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Net lending / borrowing (1-2+NOBz-31)</i>	<i>394.2</i>	<i>(1,759.4)</i>	<i>1,956.5</i>	<i>3,159.8</i>	<i>(6,888.4)</i>	<i>1,268.0</i>	<i>(2,819.2)</i>	<i>(1,700.2)</i>	<i>(440.0)</i>	<i>(1,378.9)</i>
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
			0.0	0.0		0.0				
Net acquisition of financial assets	394.2	(1,759.4)	1,956.5	3,159.8	(216.9)	1,268.0	0.0	0.0	(0.0)	0.0
Domestic	394.2	(1,759.4)	1,956.5	3,159.8	(216.9)	1,268.0	0.0	0.0	(0.0)	0.0
<i>Currency and deposits</i>	<i>394.2</i>	<i>(1,759.4)</i>	<i>1,956.5</i>	<i>3,159.8</i>	<i>(216.9)</i>	<i>1,268.0</i>	<i>0.0</i>	<i>0.0</i>	<i>(0.0)</i>	<i>0.0</i>
<i>Loans</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	0.0	0.0	0.0	0.0	6,671.6	0.0	2,819.2	1,700.2	440.0	1,378.9
Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External	0.0	0.0	0.0	0.0	6,671.6	0.0	2,819.2	1,700.2	440.0	1,378.9

Source: Department of Finance and Treasury

Table 11: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, 2021 – 2028

GFS Description	Actual 2021	Actual 2022	Actual Jan - Dec 2023	Actual Jan - Jun 2023	Revised Budget 2024	Actuals Jan - Jun 2024	Forecast 2025	Forecast 2026	Forecast 2027	Forecast 2028
TRANSACTIONS AFFECTING NET WORTH:										
Revenue	43,523.7	38,379.7	47,131.7	25,605.9	55,659.7	22,711.6	47,832.1	48,666.6	51,032.9	54,156.9
<i>Taxes</i>	16,339.3	18,982.3	24,202.7	11,654.2	29,662.0	13,660.1	25,217.1	26,293.4	27,499.0	28,451.5
<i>Taxes on income, profits, and capital gains</i>	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Taxes on payroll and workforce</i>	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Taxes on property</i>	467.7	450.9	489.4	181.1	980.3	402.6	523.0	548.2	577.4	599.5
<i>Taxes on goods and services</i>	11,908.7	14,477.5	18,811.4	9,206.4	24,206.9	11,214.8	20,024.3	20,850.8	21,803.6	22,537.8
<i>Taxes on international trade and transaction:</i>	3,962.9	4,053.8	4,902.0	2,266.6	4,474.8	2,042.6	4,669.7	4,894.3	5,118.0	5,314.2
Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grants	11,757.2	9,780.2	11,848.1	7,963.9	8,432.3	3,859.5	9,603.6	8,735.9	9,169.8	10,790.3
Other revenue	15,427.3	9,617.2	11,080.9	5,987.8	17,565.3	5,192.0	13,011.5	13,637.3	14,364.2	14,915.0
Expense	38,234.6	37,919.5	38,776.4	17,018.5	45,520.6	20,942.7	45,729.2	45,918.0	47,085.7	47,614.9
Compensation of employees	16,773.9	17,544.9	17,371.0	8,049.6	20,721.0	9,069.6	21,218.5	21,589.1	22,048.1	22,477.1
Use of goods and services	10,741.7	11,319.2	11,873.3	4,612.8	15,604.5	5,905.4	14,810.2	14,340.8	14,827.5	14,841.7
Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest	905.4	1,001.7	1,116.9	385.3	1,074.0	417.4	1,273.9	1,604.0	1,596.6	1,584.7
Subsidies	427.6	338.4	117.8	53.3	205.0	66.3	212.5	215.1	220.3	224.3
Grants	4,584.8	4,305.6	5,288.2	2,648.5	5,154.3	4,250.1	5,345.9	5,303.2	5,455.5	5,513.3
Social benefits	501.1	1,105.4	1,167.0	435.6	998.4	350.2	1,073.2	1,037.5	1,073.6	1,074.1
Other expense	4,300.1	2,304.2	1,842.3	833.4	1,763.5	883.6	1,795.2	1,828.3	1,864.1	1,899.8
<i>Gross operating balance (1-2+23+NOBz)</i>	5,289.1	460.2	8,355.3	8,587.4	10,139.1	1,768.9	2,102.9	2,748.6	3,947.3	6,541.9
<i>Net operating balance (1-2+NOBz)</i>	5,289.1	460.2	8,355.3	8,587.4	10,139.1	1,768.9	2,102.9	2,748.6	3,947.3	6,541.9
TRANSACTIONS IN NONFINANCIAL ASSETS:										
Net investment in nonfinancial assets	6,622.1	6,287.0	8,378.9	3,138.3	23,976.2	2,126.2	6,591.2	5,472.2	4,212.0	5,150.9
Fixed assets	6,622.1	6,287.0	8,378.9	3,138.3	23,976.2	2,126.2	6,591.2	5,472.2	4,212.0	5,150.9
Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Net lending / borrowing (1-2+NOBz-31)</i>	(1,333.0)	(5,826.9)	(23.6)	5,449.1	(13,837.2)	(357.2)	(4,488.2)	(2,723.6)	(264.7)	1,391.1
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
Net acquisition of financial assets	(4,359.4)	(5,779.6)	(271.9)	5,634.5	(4,104.2)	2,809.0	(5,102.2)	(3,921.5)	(3,233.9)	(605.6)
Domestic	(4,359.4)	(5,779.6)	(271.9)	5,634.5	(4,104.2)	2,809.0	(5,102.2)	(3,921.5)	(3,233.9)	(605.6)
<i>Currency and deposits</i>	(4,359.4)	(5,779.6)	(271.9)	5,634.5	(4,104.2)	2,809.0	(5,102.2)	(3,921.5)	(3,233.9)	(605.6)
Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Net incurrence of liabilities</i>	(3,026.4)	47.3	(248.3)	185.4	9,732.9	3,166.3	(614.0)	(1,197.8)	(2,969.2)	(1,996.7)
Domestic	137.3	2,344.1	2,186.6	1,004.4	5,181.7	3,928.6	0.0	0.0	0.0	0.0
External	(3,163.7)	(2,296.8)	(2,434.9)	(818.9)	4,551.3	(762.3)	(614.0)	(1,197.8)	(2,969.2)	(1,996.7)

Source: Department of Finance and Treasury